

VENDOR MANAGEMENT & PROCUREMENT POLICY

Rewritten using the supplied vendor workbook and source policy requirements

1. Purpose and Scope

This policy establishes vendor evaluation, quotation, contracting, payment-term, procurement approval, and annual review requirements. The supplied vendor register contains 500 vendors across five operating categories and is the primary reference for vendor records.

2. Vendor Register Snapshot

Category	Vendors	Average Rating
Components	100	4.09/5
Electronics	100	4.12/5
Finished Goods	80	4.04/5
Packaging	120	4.08/5
Raw Materials	100	4.17/5

3. Vendor Selection and Evaluation

1. Select vendors against the required product/category, commercial terms, service capability and documented rating.
2. Confirm that the vendor exists in the approved vendor register before procurement proceeds.
3. Evaluate vendor performance on an ongoing basis and conduct the required annual vendor review.
4. Record material performance concerns and corrective actions as part of the vendor review process.
5. Contract requirements and procurement approval must be completed before a purchase is finalized.

4. Quotation Rule

For purchases over \$5,000, obtain three vendor quotes before approval, consistent with the source Vendor Policy. The quotes should be retained with the procurement record and compared on price and applicable commercial terms.

5. Contract and Payment Terms

Contract Type	Vendor Count
Fixed	214
Variable	202
Term	84

Payment Terms	Vendor Count
Net 30	140
Prepaid	135
Net 60	115
Net 45	110

Contracts must clearly document scope, pricing, payment terms, responsibilities, applicable service requirements and approval authority. Payment terms in the register include Net 30, Net 45, Net 60 and Prepaid; the applicable term must be confirmed before commitment.

6. Procurement Approval Workflow

1. Identify the operational requirement and requested quantity.
2. Check current inventory and applicable reorder requirements before purchasing.
3. Identify eligible vendors and collect the required quotations where the \$5,000 threshold applies.
4. Complete procurement approval and contract checks.
5. Issue the purchase order/approved commitment and retain supporting documentation.
6. Match delivery and invoice information against the approved purchase.

7. Annual Vendor Review

At least annually, review vendor rating, delivery/service performance, pricing, contract compliance, payment terms and any documented issues. The review should result in an approved continuation, corrective action, renegotiation, or other documented procurement decision.

8. Control Requirements

No procurement record should be approved solely on price. Required quotations, procurement approval, contract requirements and vendor-review evidence must be retained for auditability.